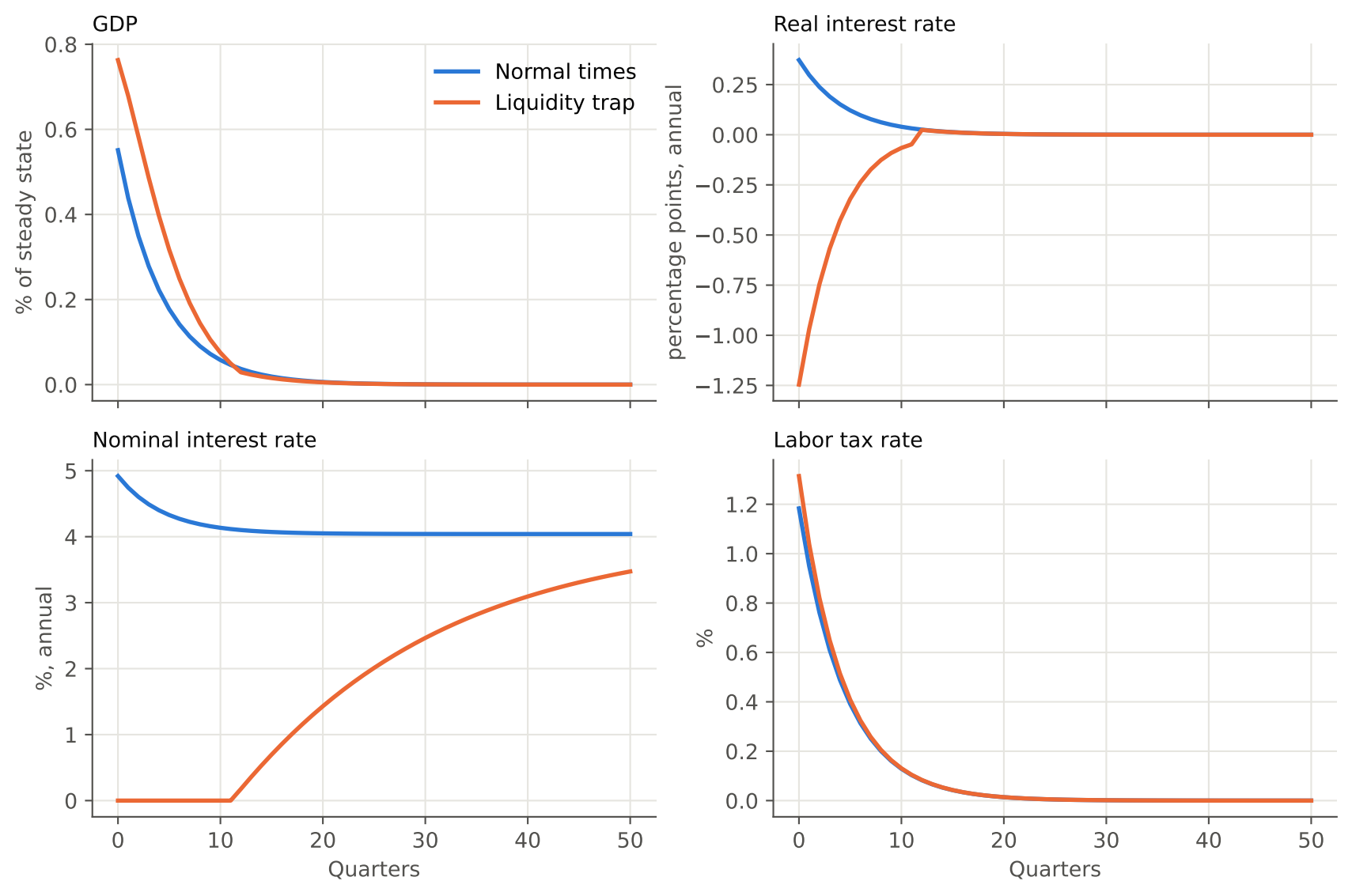
GDP
Normal times
Liquidity trap
% of steady state
0.8
0.6
0.4
0.2
0.0
Real interest rate
percentage points, annual
0.25
0.00
−0.25
−0.50
−0.75
−1.00
−1.25
Nominal interest rate
%, annual
5
4
3
2
1
0
Labor tax rate
%
1.2
1.0
0.8
0.6
0.4
0.2
0.0
0
10
20
30
40
50
Quarters